

Global Market Research

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Learning Objectives

- ✓ Understand the purpose and scope of global market research.
- ✓ Learn methods and tools used in conducting global market research.
- ✓ Recognize challenges in data collection, cultural adaptation, and analysis.
- ✓ Apply research insights to decision-making in global market entry and expansion.

What is Market Research?

- The action or activity of gathering information about consumers' needs and preferences.



What is global market research?

- Global market research is the process of gathering, analyzing, and interpreting information about international markets and consumers to support business decisions.
- It helps companies understand the broader global landscape, identify potential opportunities and challenges, and tailor their products and strategies to different cultural contexts.
- Usually, MNCs engage in global market research before entering a new market or introduce a new product.

Why should a global organization carry out market research?

➤ To understand diverse customer needs

- Global markets have varying preferences, cultural nuances, and purchasing behaviors. Market research helps identify these differences, allowing businesses to tailor products, services, and marketing messages accordingly.
- For example, a company launching a new food product needs to understand dietary restrictions, religious observances, and local tastes in each region to succeed.

➤ To adapt strategies for different regions

- Market research informs strategic decisions, such as pricing, distribution channels, and marketing campaigns, to resonate with local markets.
- A clothing retailer, for example, needs to research the preferred styles, sizes, and price points in each country before launching a new line.

➤ To identify new opportunities

- Market research can reveal unmet needs, emerging trends, and untapped customer segments that a global organization can capitalize on.
- By analyzing market data, a software company might discover a new niche for its product in a developing country.

➤ To mitigate risks

- Entering a new market without understanding the competitive landscape, regulatory environment, and consumer behavior can lead to costly mistakes.
- Market research helps identify potential risks, such as legal restrictions, cultural insensitivity, or strong competition, allowing businesses to develop mitigation strategies.

➤ To improve customer satisfaction and loyalty

- Understanding customer preferences and pain points through market research helps businesses improve their products, services, and overall customer experience.
- This leads to increased customer satisfaction, loyalty, and positive word-of-mouth, which are crucial for long-term success.

➤ To stay ahead of the competition

- Market research allows organizations to monitor competitor activities, identify their strengths and weaknesses, and develop strategies to outperform them.
- By understanding competitor strategies, a business can adapt its own offerings and marketing efforts to gain a competitive advantage.

How to conduct
Market
Research?

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Using in-house resources

Outsource to a firm specializing in
marketing research

Market Research Companies



The research process

- ✓ Problem definition and development of research objectives
- ✓ Determine the sources of information
- ✓ Collection of data form primary and secondary sources
- ✓ Analysis of data
- ✓ Making product and marketing related decisions based on gathered information

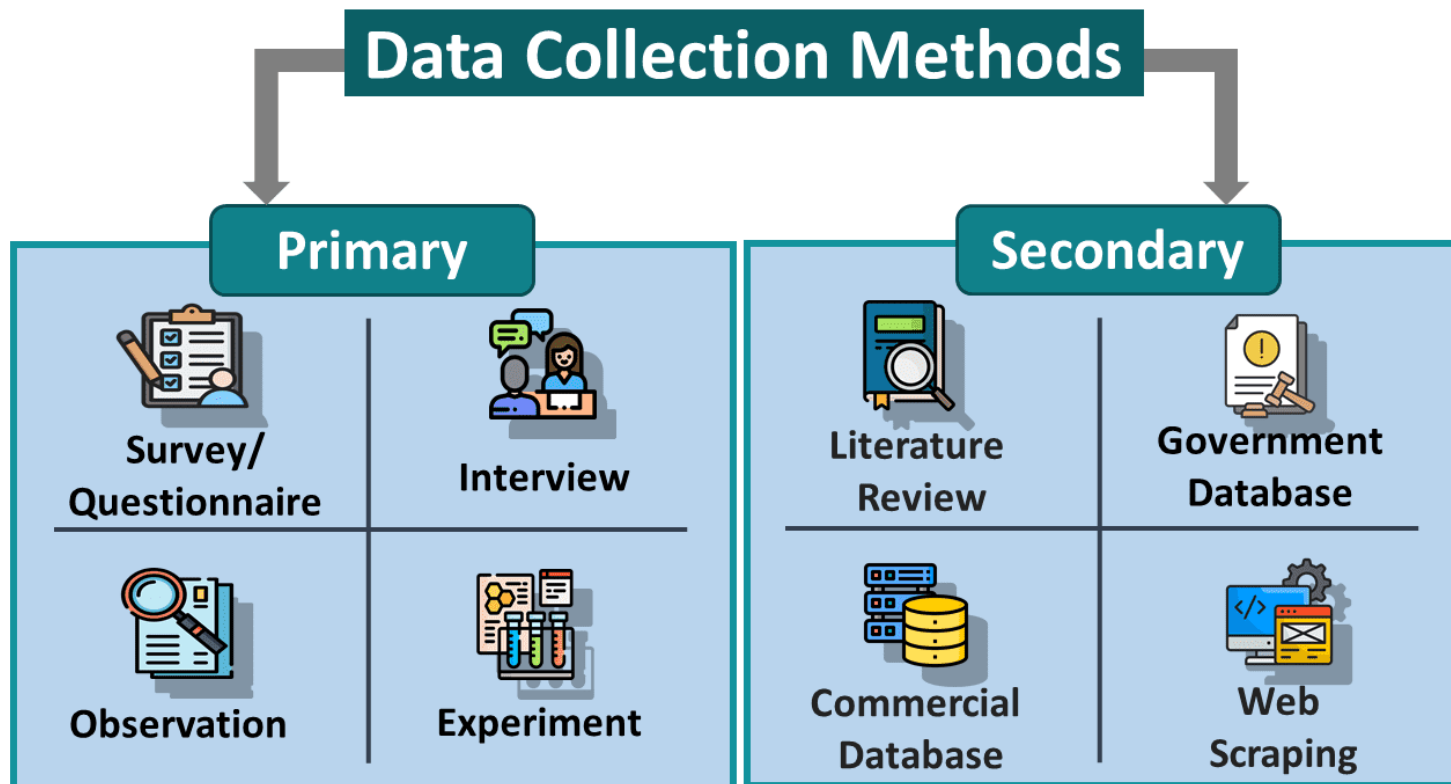
1. Identifying the Research Problem

- “A problem well defined is a problem half solved”.
- Whether it’s a weakness in the competitor’s product or identify an unserved market segment.

Bata



2. Data collection methods



3. Analyzing research data

- Quantitative Analysis (Descriptive Statistics, Regression Analysis)
- Qualitative Analysis (Thematic Analysis)
- Demand pattern analysis
- Income Elasticity measurements



4. Making decisions

- The research team can present the findings of the research to the Management team either via a report, presentation or electronically.
- Findings should be easily understandable to the managers – Research jargons and complex quantitative analysis should be kept away in the report.
- Results should be clearly stated and provide a basis for managerial decision making.



Challenges in Global Market Research

- A global market researcher must analyse many national markets.
- Language and translation issues (back-translation, idioms)
- Cultural bias and ethnocentrism
- Political, economic, and legal factors
- Technological infrastructure differences
- Managing ROI in market research
- Headquarters control global marketing research
- Ethical considerations (e.g., data privacy laws like GDPR)

Example: Misinterpretation of Pepsi's slogan in China ("Pepsi brings your ancestors back from the dead").

Emerging Trends in Global Market Research

- Use of AI and big data in global insights
- Mobile and digital-first research in developing markets
- Cross-cultural segmentation
- Sustainability and ethical consumption trends globally

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Thank
You